and only reduced its rate marginally. The government chose to exempt all assessees who earned income of less than Rs 36,000 a year from the expenditure tax. This reduced the applicability of the tax to only a minority of taxpayers—about 8000 people in all!

The effect of not reducing the marginal rate of income tax and super-tax meant that expenditure tax was effectively an additional tax, not a tax replacing income tax. The complex regime of exempting certain expenditures and assessment of expenditure also created massive administrative problems and intrusion in the lives of people. In fact, the total tax paid by many of the people on whom expenditure tax became applicable exceeded 100 per cent of income and people had to pay tax from their capital.

As a result, the expenditure tax neither resulted in incentivizing savings nor in earning any meaningful revenues for the government. It only resulted in massive taxpayer harassment.

None shed a tear when the expenditure tax law was abolished in 1966.

Income Tax Rate Structure Was Gradually Made Non-Extortionary

The marginal rate of income tax was 97.75 per cent in 1974 and had been so high for many years in India. In addition, there was wealth tax. This worked as the strongest disincentive to expand business income. This also worked as the strongest incentive to make taxpayers tax-evaders.

This was recognized in 1974, albeit after it had done a lot of harm to India's growth and enterprise. In his Budget speech for the year 1974–75, Finance Minister Y.B. Chavan said:

'One of the important recommendations of the Direct Taxes Enquiry Committee relates to reduction in the rates of taxes. The Committee has expressed the view that prevalence of high rates is the first and foremost reason for tax evasion, because this is what makes the evasion, in spite of attendant risks, profitable and attractive. The Committee has, accordingly,